

- **Travel insurance.** Policies promising to protect your vacation against flight cancellation, delays, or even lost luggage have proliferated, but as long as it's a short domestic trip you're booking yourself, you're unlikely to need any of it. For one thing, cancellation and baggage insurance is a very common credit card benefit—as long as you charged the tickets on your card, you're probably already covered. For another, you can probably just pay a fee and rebook a hotel or reschedule a flight.

The exception is if you're going abroad, in which case travel medical protection may be a good idea. (Few if any U.S. health plans will cover you if you get sick overseas.) Here too, many credit cards, especially those with an international or airline focus, come with some travel medical coverage. Check with your issuer and at www.insuremytrip.com to make sure you've got what you need.

- **Long-term care insurance.** Some insurance companies aggressively pitch long-term care insurance—which will pay the costs if you have to spend time in a nursing home—to younger people. Their argument goes that people should buy this type of policy while they're young and healthy and hang on to it. But in fact, most young people end up paying premiums for a while and then letting their coverage lapse. At your age, you should consider disability insurance instead.
- **Credit protection insurance.** Credit card and mortgage companies have been stuffing their envelopes with invitations to buy “credit insurance,” which is supposed to cover your credit card bills or housing payments in the event that you become unemployed, disabled, or dead. Supposedly, this insurance will protect your credit from damage during periods when you can't make ends meet. In reality, it mainly protects the lenders—you're shelling out extra money to make sure they keep getting their payments on time. This insurance costs much more than it tends to give back, and for